

The 8 most common reasons Alabama Medicaid denies a Miller Trust

A plain-English checklist of the paperwork errors that cost Alabama families a month of benefits — each with the Alabama Medicaid citation behind it, so you can verify before you file, not after the denial letter arrives.

Read this first — the funding-month rule. A Miller Trust (Qualified Income Trust) only works for a given month if it is **both signed and funded in that same calendar month**. Alabama Medicaid does not back-date eligibility. Sign on the 28th but fund on the 2nd of the next month, and the first month is billed at the Alabama private-pay rate — roughly **\$8,334–\$8,787**. Most families lose a month to this timing gap, not to ineligibility.

The 8 denial traps to check before you file

Every trap below is drawn from Alabama Medicaid policy. Verify each against the citation shown before you submit the Medicaid application.

1

A resource (not income) is placed in the trust

Only the claimant's own income may go into the QIT. The Form 262 packet states the assets placed in the trust must be the applicant's income only and that no resources — except money resulting from the buildup of the applicant's income — can be part of the QIT. Depositing savings, a gift, the proceeds of a sale, or anyone else's money breaks the trust.

Source: AL Form 262 QIT Packet; Ala. Admin. Code Chapter 560-X-25

2

The trust is not irrevocable

The Form 262 packet requires the QIT to be irrevocable. A revocable trust does not meet the Alabama Medicaid Agency's standard for a valid Qualifying Income Trust.

Source: AL Form 262 QIT Packet

3

Missing or altered State-of-Alabama payback clause

The trust must state that on the beneficiary's death the trust assets are paid to the Medicaid authorities of the State of Alabama, up to the total Medicaid paid on the beneficiary's behalf. A missing or altered payback provision invalidates the trust; the Form 262 template already contains the required clause.

Source: AL Form 262 QIT Packet

4

A diverted income check is not deposited in its entirety

You may divert all or part of your income into the QIT, but any income check you route in must be deposited into the trust account in its entirety; you cannot split a single check. If income lands first in a non-trust account, the claimant's income must still be moved into the QIT account in its entirety that month.

Source: AL Form 262 QIT Packet

5

The trust is not funded in the correct month

The first possible month of Medicaid eligibility is the month the income goes into the QIT account. A month in which the income did not actually flow through the trust is not covered — there is no back-dating to before the account was funded.

Source: AL Form 262 QIT Packet

6

The claimant is named as trustee

The Form 262 structures the claimant as the settlor and a different person as the trustee (a relative or friend), with an alternate trustee named. Naming the claimant as their own trustee does not follow the Agency's packet, which separates the settlor and trustee roles.

Source: AL Form 262 QIT Packet

7

Funds are commingled or the account is not a dedicated QIT account

The account must be titled so it reads as a QIT ('Jane Doe, trustee of QIT for Sam Doe') and hold only the claimant's income. The packet is explicit: do not put other resources into the QIT account. Mixing personal money or anyone else's funds defeats the trust.

Source: AL Form 262 QIT Packet

8

The trust is not properly executed or notarized

The packet requires the trust to be properly executed — signed on all the appropriate lines and notarized. Missing signatures or a missing notarization invalidates the trust.

Source: AL Form 262 QIT Packet

How families get every step right the first time

This checklist tells you *what* can go wrong. The full Alabama Miller Trust Setup Kit walks through avoiding each one in order — the word-for-word bank script for when the branch refuses to open the account, the pre-filled funding worksheet using the CMS January 2026 figures income cap of \$2,982, and the day-before-you-file checklist. It's backed by a money-back guarantee: if Alabama Medicaid rejects the trust for a reason traceable to following the kit, you get a full refund.

[See the Alabama kit →](#)

Verify the sources yourself

- Official Alabama Medicaid template — [Ala. Admin. Code r. 560-X-25-.10](#) (300% of SSI income limit for institutional and waiver Medicaid); [Alabama Medicaid Agency Form 262 / Handout #11](#) (Qualifying Income Trust packet); federal authority [42 U.S.C. § 1396p\(d\)\(4\)\(B\) / § 1917\(d\)\(4\)\(B\)](#) of the Social Security Act
- Alabama Medicaid policy manual — [Alabama Medicaid Agency](#)

— James Whitfield, Miller Trust Guide · millertrustguide.com

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